



Lesson 2

Enrichment Exercise

Looking at the Facebook, Inc. Balance Sheet:

1. Liabilities + Equity = Total Assets

Total Current Assets are \$34,401 million while Total Assets and Total Liabilities as well as Stockholders' Equity are \$64,961 million. See the FB Balance Sheet.

2. Their current assets for the most recent year-end are \$34,401 million.

3. There was a significant change compared to the prior year. Last year they had current assets of \$21,652 million so it increased by \$12,749 million or \$12,749 million/\$21,652 million, which is 59%. It appears that their marketable securities had a significant increase from \$13,527 million to \$20,546 million. There were actually many footnote disclosures related to this account throughout. See the FB Footnote Disclosures.

4. Facebook's most liquid asset (after cash) are their marketable securities.

5. Facebook's liability due the soonest are their accounts payable, which is the first liability they listed in order due.

6. Facebook only has a current liabilities of \$2,875 million as compared to current assets of \$34,401 million, meaning there is no concern as to whether they can pay their bills or not.